IN THE NATIONAL COMPANY LAW TRIBUNAL,

NEW DELHI, COURT-III

COMPANY APPLICATION NO. (CAA) - 104(ND)/2022

(Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF ARRANGEMENT

BETWEEN

M/s. SHARPLINE NETWORK PRIVATE LIMITED

..... Applicant Company No. 1/Transferor Company

WITH

M/s. SHARP EYE MEDICARE PRIVATE LIMITED

..... Applicant Company No. 2/ Transferee Company No. 1

AND

M/s. IPK EXPORTS PRIVATE LIMITED

..... Applicant Company No. 3/ Transferee Company No. 2

AND

M/s. MP INFRACON PRIVATE LIMITED

..... Applicant Company No. 4/ Transferee Company No. 3

Order Pronounced On: 30.11.2023

CORAM:

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Petitioners : Ms. Eshna Kumar, Ms. Prachi Bhatia., Adv.

For the Respondent :

ORDER

PER: ATUL CHATURVEDI, MEMBER (TECHNICAL)

1. This is a 1st Motion Petition jointly filed by the Applicant Companies

seeking approval of this Tribunal about the Scheme of Arrangement under Sections 230 and 232 of the Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 in respect of above Applicant Companies. It is represented that the registered office address of all the Applicant Companies is situated in New Delhi and therefore the subject matter of the said petition falls within the jurisdiction of this Tribunal. Ld. Counsel has given the brief description of the Applicant Companies, which are as follows:

a) The Applicant Company No. 1 namely M/s. Sharpline Network Private Limited bearing CIN: U74300DL1999PTC100396 was incorporated on 24.06.1999 under the provisions of the Companies Act, 1956 as a Company limited by Shares (Non-govt. company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office address of Applicant Company No. 1 is situated at 5/6, 2nd Floor, B Side West Patel Nagar, New Delhi-110008.

b) The Applicant Company No. 2 namely M/s. Sharp Eye Medicare Private Limited bearing CIN: U74110DL2010PTC205120 was incorporated on 02.07.2010 under the provisions of the Companies Act, 1956 as a Company limited by Shares (Non-govt. company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office of Applicant Company No. 2 is situated at 38, Rani Jhansi Road, Jhandewalan, New Delhi-110055.

c) The Applicant Company No. 3 namely M/s. IPK Exports Private Limited bearing CIN: U51311DL2005PTC136330 was incorporated on 17.05.2005 under the provisions of the Companies Act, 1956 as a Company limited by Shares (Non-govt. company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office address of Applicant Company No. 3 is situated at 40/77, G/F,

Chittaranjan Park, New Delhi-110019.

d) The Applicant Company No. 4 namely M/s. MP Infracon Private Limited bearing CIN: U45100DL2011PTC214318 was incorporated on 17.02.2011 under the provisions of the Companies Act, 1956 as a Company limited by Shares (Non-govt. company) with the Registrar of Companies, Delhi & Haryana. The registered office address of Applicant Company No. 4 is situated at First Floor, Upper First Floor and Second Floor AB House, 4/24A, Asaf Ali Road, New Delhi-110002.

2. Affidavits in support of the above petition have been sworn by Ms. Pooja Aggarwal, Director of Applicant Company No. 1, 2, & 3 and by Mr. Arpan Gupta, Director of Applicant Company No. 4 who have been authorized vide board resolutions of all the Applicant Companies. These Affidavits are filed along with the petition.
3. The Board of Directors of the Applicant Companies No. 1, 2, 3, & 4 in their separate meetings held on 16.03.2022, on 17.03.2022, on 21.03.2022, on 18.03.2022 approved and adopted the Scheme of Arrangement wherein it is proposed for demerger of the TV News Channel i.e. "TV 27 News", "VIP News" and "AMV Network" of the Transferor Company into the Transferee Company No. 1, 2 & 3 as a going concern basis in accordance with the terms of the Scheme of Arrangement.
4. The Applicant Companies have filed its Memorandum and Articles of Association inter alia delineating their object clauses as well as the latest audited annual financial report for the year ended 31.03.2021 and the copy of the unaudited provisional financial statements as on 31.03.2022 as required under section 232(2)(e) of the Companies Act, 2013.
5. The Applicant Companies have filed the true copy of the proposed Scheme of Arrangement. The Circumstances and/or reasons which justify and/or necessitate the said scheme of Arrangement are, inter

alia, as follows:

i. That the Transferor Company and the Transferee Company No. 1, 2 and 3 belong to the same group i.e. Sadhna Group.

ii. The Applicant/Transferee Companies are also, inter-alia, engaged in the similar business as the Demerged Undertaking, of conduct of business in media and entertainment sector, including print and electronic media.

6. The vision of the promoters of the Transferor Company is that all the undertakings of the Transferor Company should emerge as core business activities by segregating them into separate Companies for which purpose the present Scheme has been proposed.

7. It is envisioned that the growth of these segmented activities, besides efficient and proper management of each of the undertakings of the Transferor Company would not only require significantly large capital resources, which could be generated through known sources of funding such as:

(a) Involvement of Strategic Investors

(b) Technical & Financial Collaborations

(c) Private Equity Funding

(d) Bank and Financial Institution's Borrowings

(e) Public Issues through listing on Bourses

8. Since private funds are mostly sector specific, therefore in order to realize the long-term growth, it is proposed that the TV News Channel undertaking of the Transferor Company be hived off into Sharp Eye Medicare Private Limited, IPK Exports Private Limited and MP Infracon Private Limited. This will result in making the Transferee Companies stronger to maximize its profits through optimum utilization of its own resources and by utilizing maximum available benefits emerging out of such amalgamation.

9. The Shares of the Transferee Companies have been evaluated for the purpose of determining the exchange ratio:

(i). The Transferee Company No. 1 shall issue and allot Equity

Shares to all the shareholders of the Transferor Company as Consideration for the transfer of the Demerged Undertakings/divisions, in proportion of their shareholding in the Transferor Company as per the share exchange/allotment ratio i.e. 1 (One) Equity Share for every 1 (One) fully paid equity share of Rs. 10/- each held in "Sharpline Network Private Limited" by issue of 1(One) fully paid equity share of Rs.10 each of Sharp Eye Medicare Private Limited for the demerger and vesting of TV News Channel – i.e. "TV 27 News" undertaking into Sharp Eye Medicare Private Limited.

(ii). The Transferee Company No. 2 shall issue and allot Equity Shares to all the shareholders of the Transferor Company as Consideration for the transfer of the Demerged Undertakings/divisions, in proportion of their shareholding in the Transferor Company as per the share exchange/allotment ratio i.e. 1 (One) Equity Share for every 1 (One) fully paid up equity shares of Rs. 10 each held in "Sharpline Network Private Limited" by issue of 1 (One) fully paid up equity share of Rs. 10/- each of IPK Exports Private Limited for the demerger and vesting of TV News Channel - i.e." VIP News" undertaking into IPK Exports Private Limited.

(iii). The Transferee Company No. 3 shall issue and allot Equity Shares to all the shareholders of the Transferor Company as Consideration for the transfer of the Demerged Undertakings/divisions, in proportion of their shareholding in the Transferor Company as per the share exchange/allotment ratio i.e. 10 Equity Shares for every 1 (One) fully paid up equity shares of Rs. 10 each held in "Sharpline Network Private Limited" by issue of 1 (One) fully paid up equity share of Rs. 100/- each of MP Infracon Private Limited for the demerger and vesting of TV News Channel - i.e."AMV Network" undertaking into MP Infracon Private Limited."

10. Upon the Scheme becoming effective, the relevant Transferee Companies shall issue and allot to all the existing shareholders of the

Transferor Company as on the Effective Date.

11. The Applicant/Transferor Company as on 31.03.2022 has 13 (Thirteen) equity shareholders. The consent letters of all the Equity Shareholders along with the affidavit is filed along with the Petition. The Applicant/Transferor Company has NIL secured creditors as on 31.03.2022. The Applicant/Transferor Company has 6 (Six) Unsecured creditors as on 31.03.2022. The consent letters of all the Unsecured creditors along with the affidavit is filed along with the Petition

12. The Applicant/Transferee Company No. 1 has 3 (Three) equity shareholders as on 31.03.2022. The consent letters of all the Equity Shareholders along with affidavit is filed along with the Petition. The Applicant/Transferee Company No. 1 has NIL secured creditors as on 31.03.2022. The Applicant/Transferee Company No. 1 has 2 (Two) Unsecured creditors as on 31.03.2022. The consent letters of all the Unsecured creditors along with affidavit is filed along with the Petition.

13. The Applicant/Transferee Company No. 2 has 2 (Two) equity shareholders as on 31.03.2022. The consent letters of all the Equity Shareholders along with affidavit is filed along with the Petition. The Applicant/Transferee Company No. 2 has NIL secured creditors as on 31.03.2022. The Applicant/Transferee Company No. 2 has 5 (Five) Unsecured creditors as on 31.03.2022. The consent letters of all the Unsecured creditors along with affidavit is filed along with the Petition.

14. The Applicant/Transferee Company No. 3 has 4 (Four) equity shareholders as on 31.03.2022. The consent letters of all the Equity Shareholders along with affidavit is filed along with the Petition. The Applicant/Transferee Company No. 3 has NIL secured creditors as on 31.03.2022. The Applicant/Transferee Company No. 3 has 1 (One) Unsecured creditors as on 31.03.2022. The consent letter of the Unsecured creditor along with affidavit is filed along with the Petition.

15. None of the Directors of any of the Applicant Companies have any material interest in the Scheme of Arrangement except as shareholders in general, the extent of which appears in the Register of Directors shareholdings maintained by the respective companies.

16. Any issue as to whether any asset or liability pertains to or is relatable to the Demerged Undertaking or not shall be solely decided by the Board of Directors of the Transferor Company, on the basis of evidence that may be deemed to be relevant to them for the purpose (including the books or records of the Transferor Company).

17. Having heard the submissions made by Ld. Counsel and having perused the records as well as the documents placed on record, we allow the following prayers:

"i. Dispense with the requirement for convening and holding of meeting of the Equity Shareholders of Transferor Company and also dispense with the requirement of issue and publication of notice for the same.

ii. Dispense with the requirement for convening and holding of meeting of the unsecured creditors of Transferor Company and also dispense with the requirement of issue and publication of notice for the same.

iii. Dispense with the requirement for convening and holding of meeting of the Equity Shareholders and Unsecured Creditors of the Transferee Companies and also dispense with the requirement of issue and publication of notice for the same.

iv. Issue directions for permitting the filing of the application, petition or any other documents as may be required, for the purpose of sanctioning the proposed scheme of demerger between Sharpline Network Private Limited (Transferor Company) and Sharp Eye Medicare Network Private Limited (Transferee No. 1) and IPK Exports Private Limited (Transferee No. 2) and MP Infracon Private Limited (Transferee No. 3).

v. Passing such order and further order's, as this Hon'ble Tribunal may deem fit and proper in the facts and circumstances of the case."

18. The prayer sought in the present petition bearing CA(CAA)-104/(ND)/2022 stands **allowed** on the aforesaid term and is accordingly **disposed of**.

19. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicant Companies.

20. Let copy of the order be served to all the parties.

Sd/-
(ATUL CHATURVEDI)
MEMBER (TECHNICAL)

Sd/-
(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)